

Adani Enterprises Ltd

ADANIENT · Industrials

ROE

8.5%

ROCE

8.0%

Net Profit Margin

3.5%

Debt-to-Equity

1.67

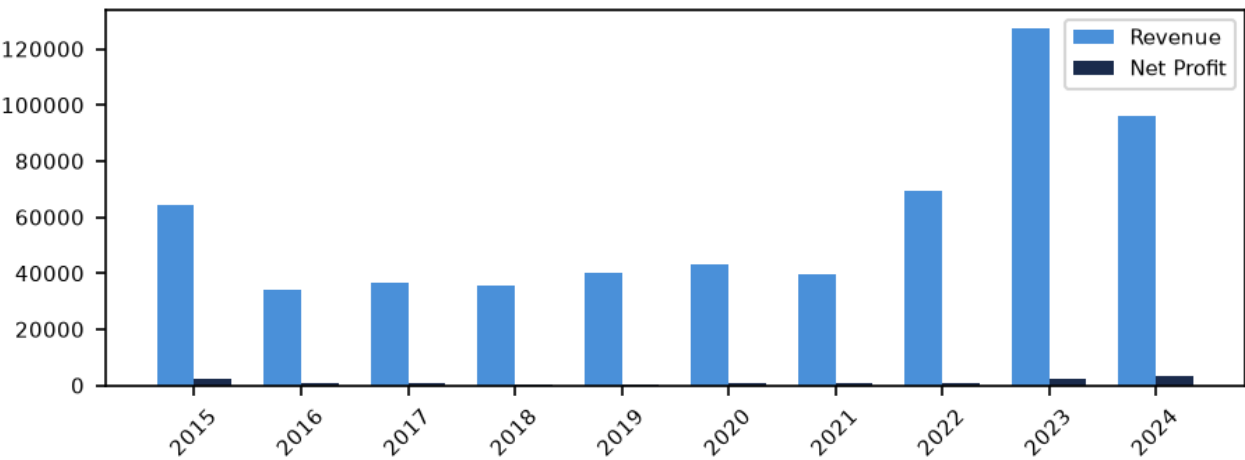
Revenue CAGR (5yr)

19.0%

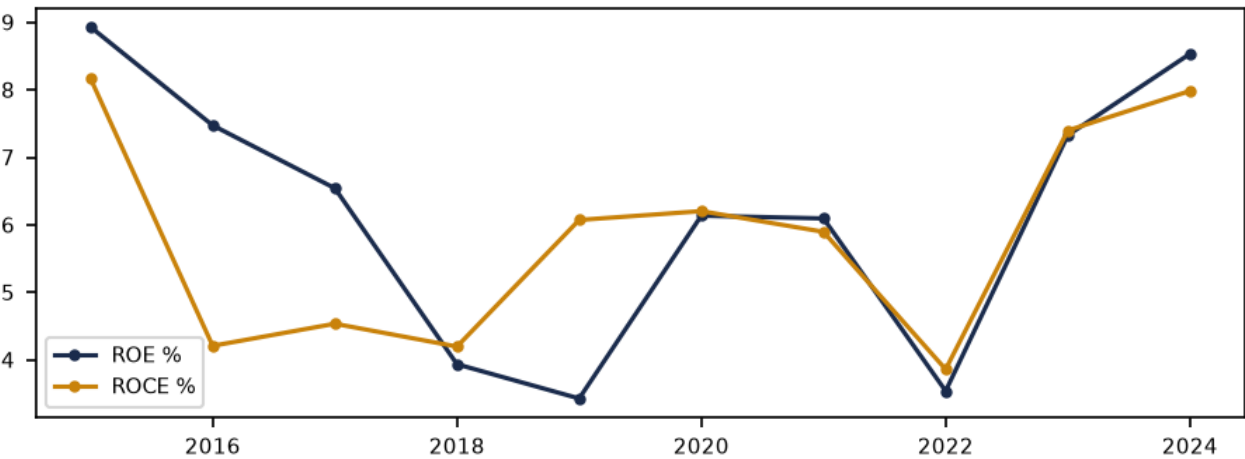
Free Cash Flow

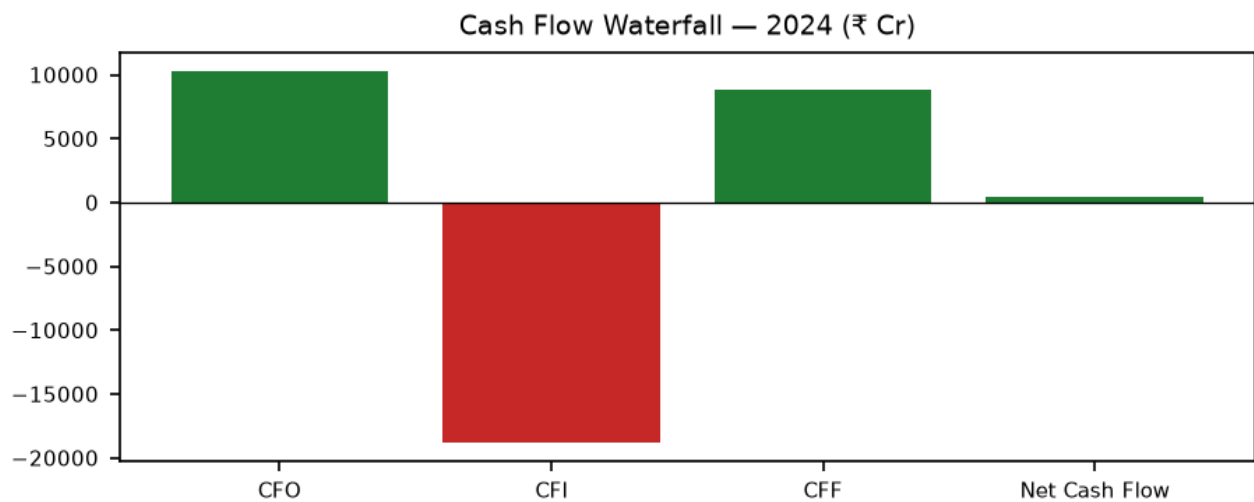
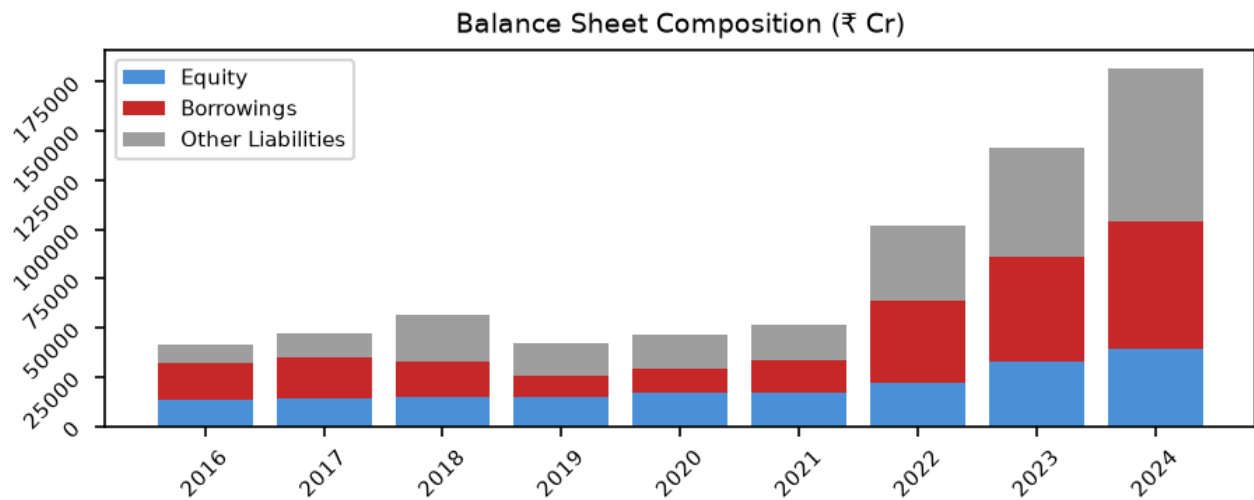
■ -8,455 Cr

Revenue vs Net Profit (₹ Cr)



ROE vs ROCE Trend (%)





Pros

- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
- ✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum

Cons

- ✗ Gross debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Growth Financing